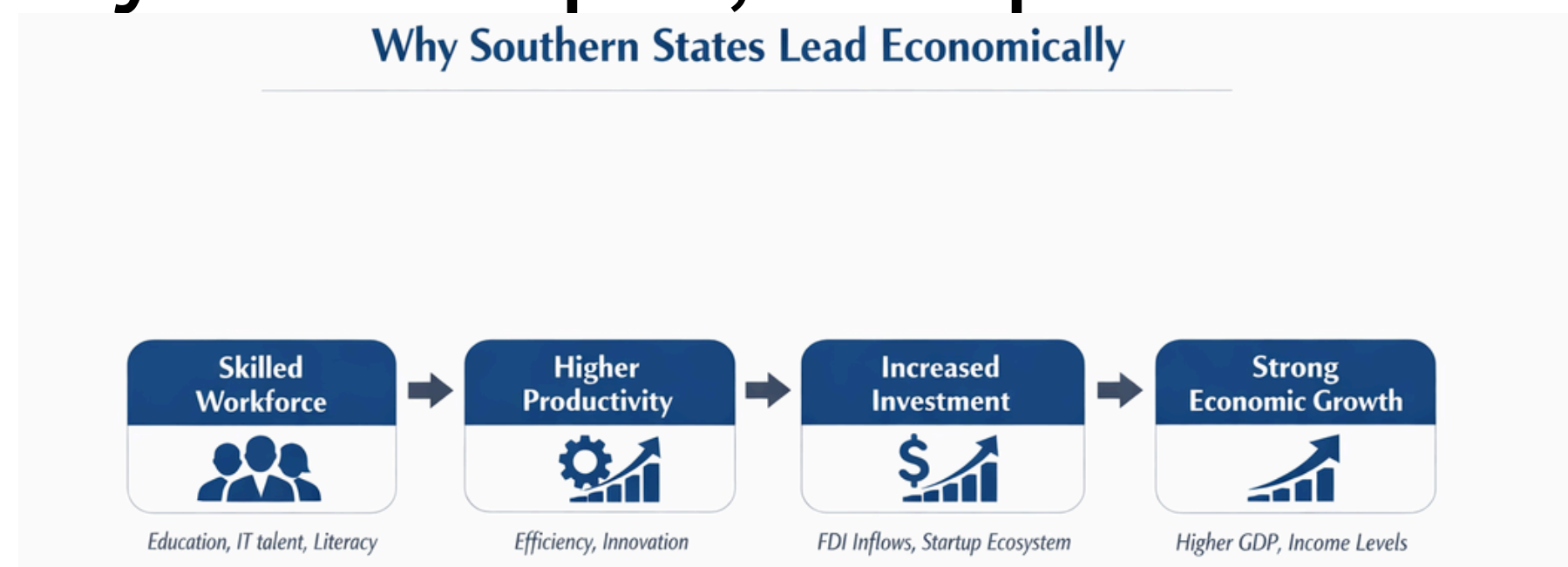




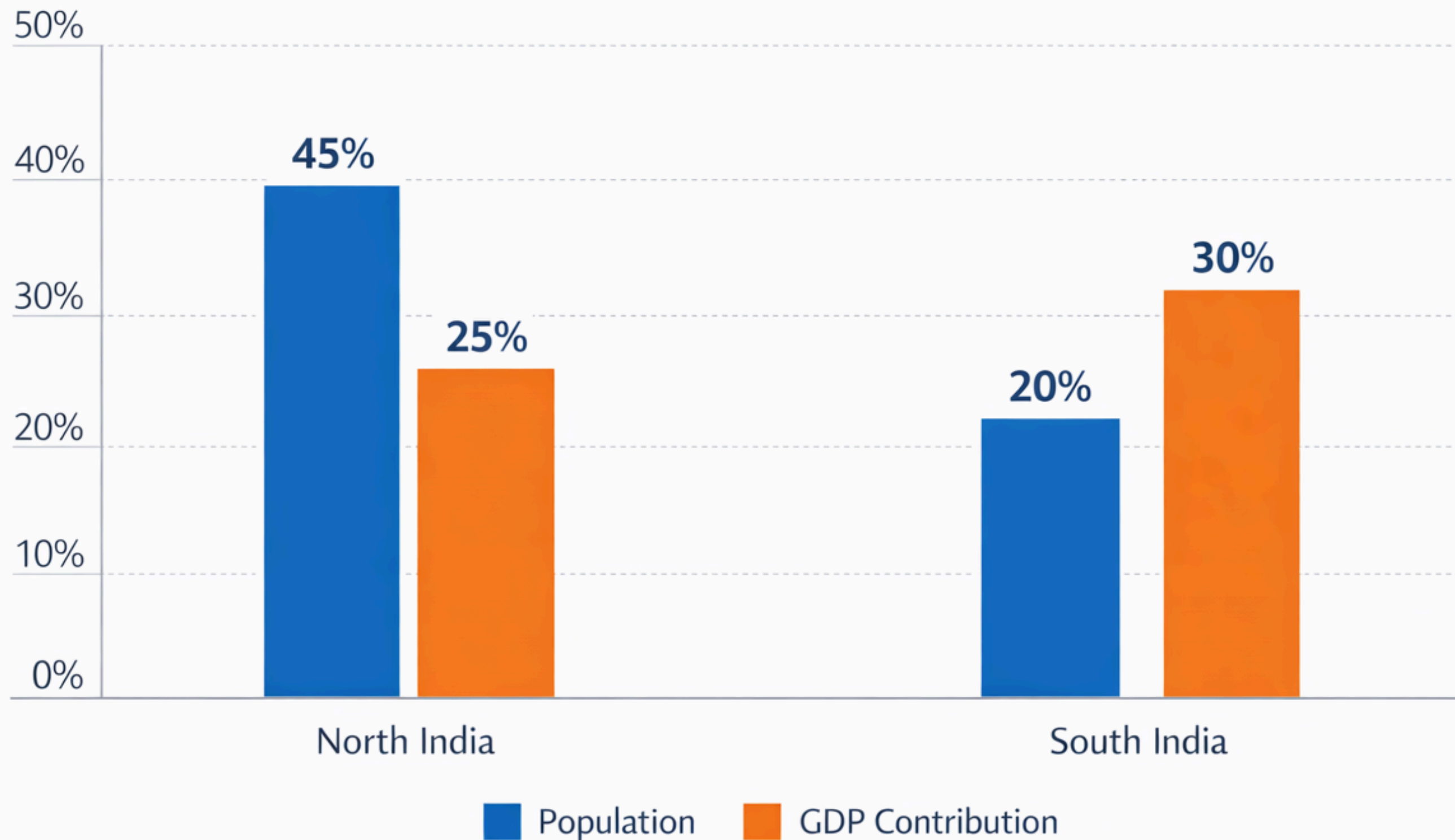
Northern India's Catch-Up Cycle: Momentum Improving, Structural Gaps Persist

India's regional economic divide remains structurally entrenched, with Southern states continuing to outperform across key metrics. Despite accounting for ~20% of the population, the South contributes ~30% of GDP and attracts ~35% of FDI inflows, while Northern states, with ~45% of the population, generate only ~25% of GDP (Source: Economist, MOSPI, RBI). This divergence has widened since the 1990s, reflecting differences not just in growth rates but in underlying economic models.

Southern India's outperformance is rooted in a self-reinforcing cycle of human capital, urbanization, and governance. Higher educational attainment has translated into superior productivity, while deeper urbanization has enabled industrial clustering and network effects. This, combined with relatively stronger policy execution, has supported a services-led growth model anchored in IT and financial services. The result is a compounding dynamic where productivity attracts capital, and capital further enhances productivity.



Population vs GDP Share: North vs South India

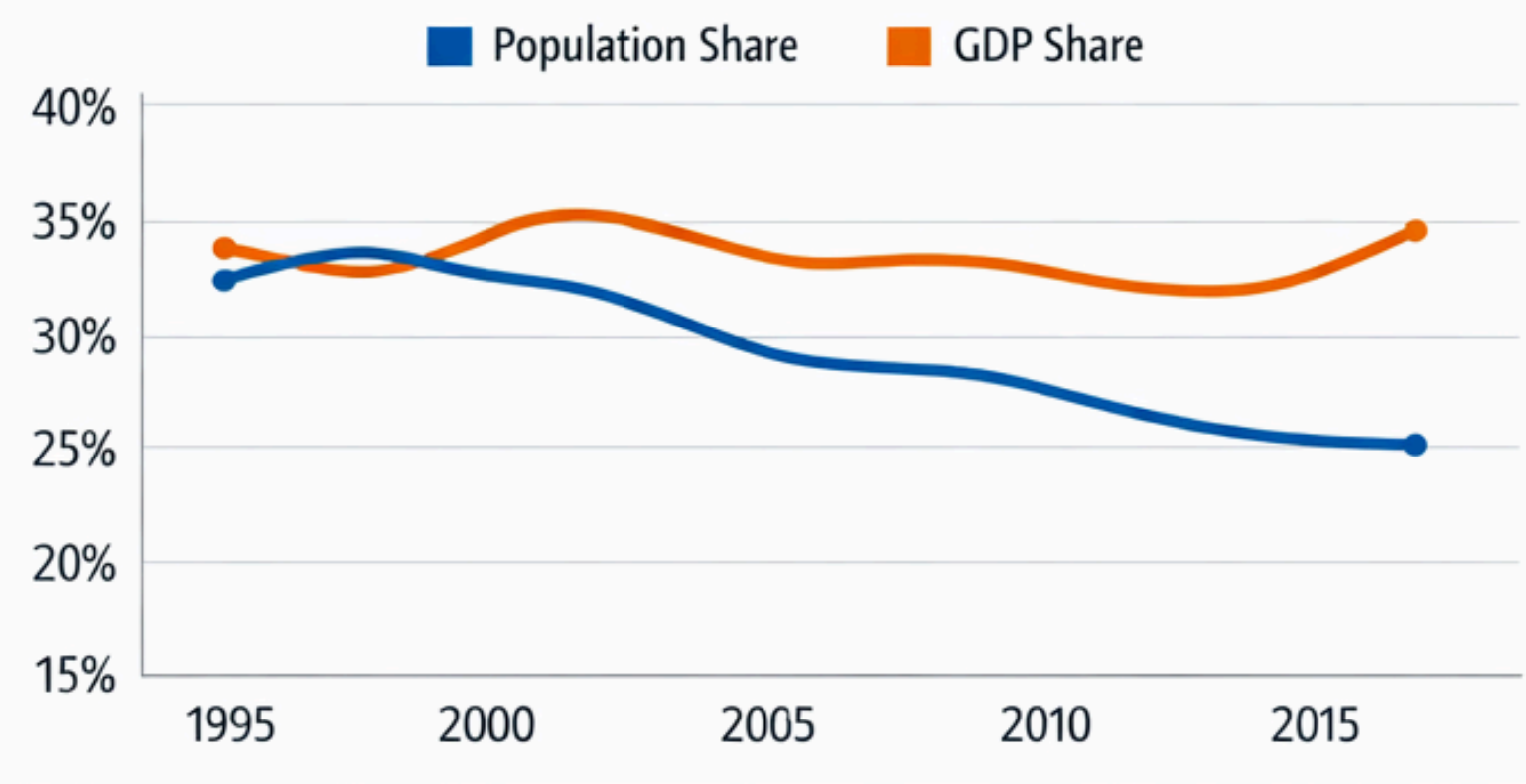


North India has a significantly higher population share but lower GDP contribution, indicating lower productivity levels.

Recent developments, however, suggest an emerging inflection point for Northern India. Large-scale infrastructure investments—including expressways and dedicated freight corridors—are beginning to reduce logistical bottlenecks that historically constrained industrial growth. Concurrently, policy initiatives such as the PLI scheme and Make in India are incentivizing manufacturing investments. This is reflected in corporate activity, including Samsung’s manufacturing expansion in Uttar Pradesh and Dixon Technologies scaling electronics production (Source: DPIIT, company disclosures, RBI reports). As a result, the North’s growth model is gradually shifting from consumption-led to investment- and manufacturing-driven.

The distinction between the two regions lies in their growth engines. The South remains efficiency-driven and services-led, while the North is increasingly infrastructure-led and manufacturing-oriented. The causal mechanism is straightforward: infrastructure reduces transaction and logistics costs, improving investment attractiveness, which in turn drives industrial output. However, unlike the South’s relatively stable services advantage, manufacturing-led growth is inherently more sensitive to execution quality and policy consistency. This suggests that convergence is not automatic but conditional.

GDP Share Trend: South vs North India

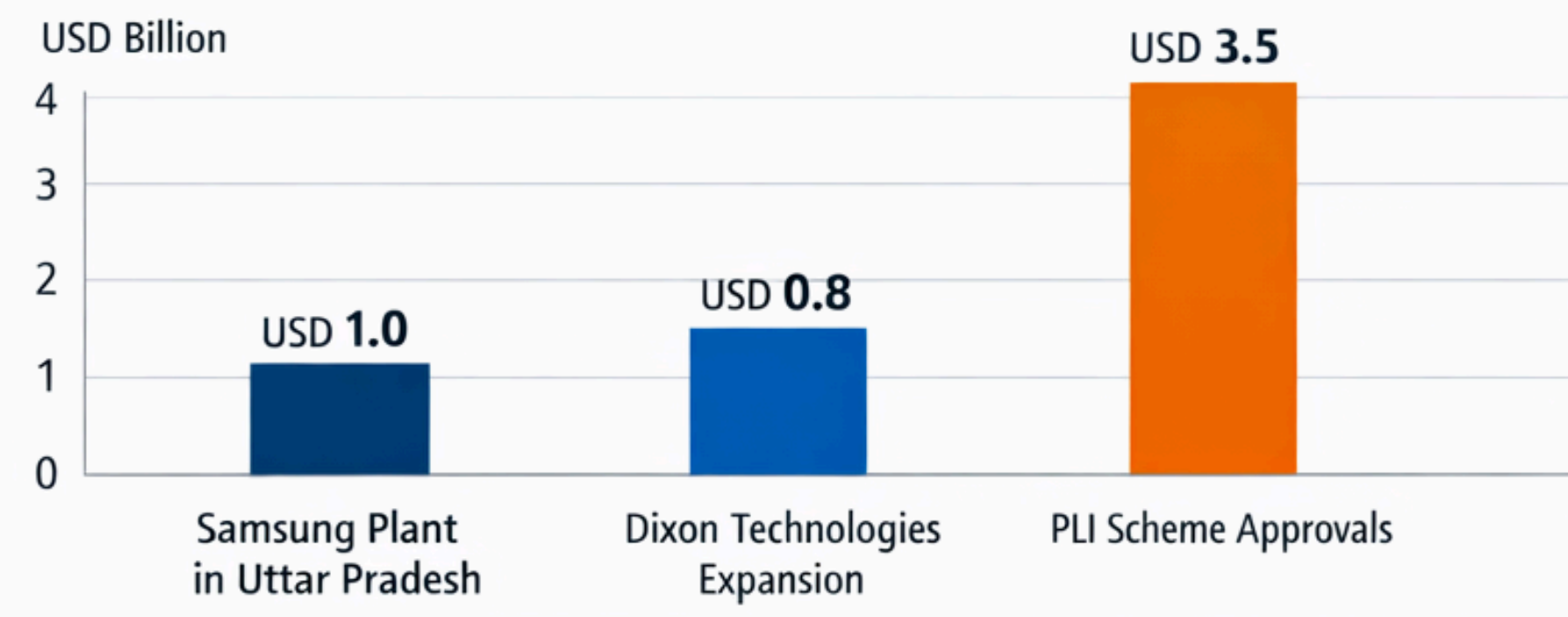


Source: MOSPI, RBI, Economist

Northern India's Infrastructure Push



Rising Manufacturing Investments in the North

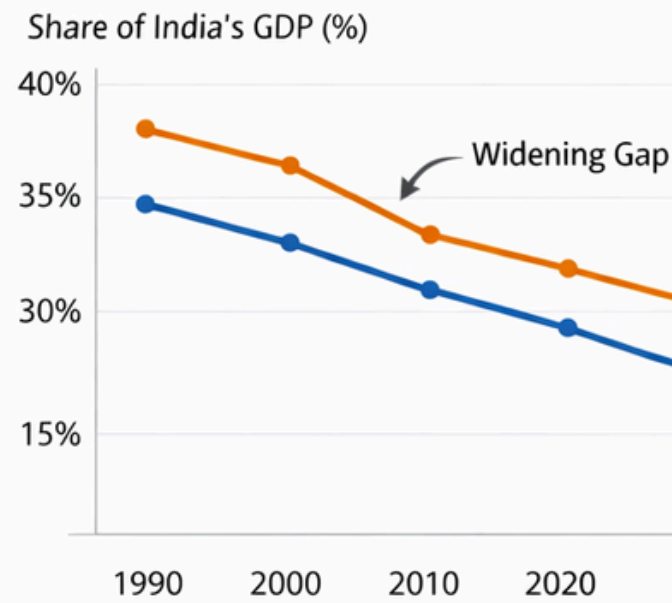


Source: DPIIT, Company Announcements

Despite improving momentum, structural constraints persist. Skill gaps continue to limit productivity scaling, particularly in manufacturing-intensive sectors. Lower urbanization levels restrict the formation of efficient industrial clusters, and governance variability across states introduces execution risk. Without parallel improvements in human capital, physical infrastructure alone may not sustain long-term competitiveness (Source: World Bank, NITI Aayog).

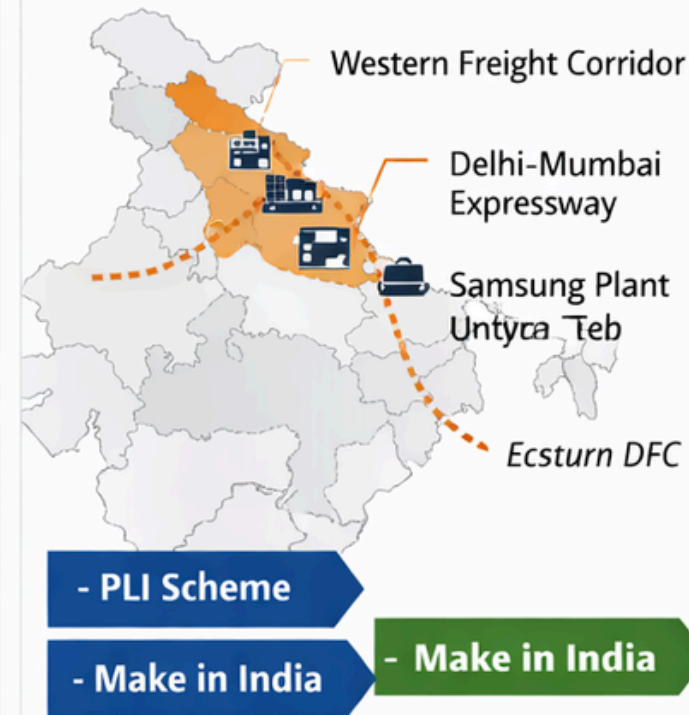
Looking ahead, there is clear evidence that Northern India's underperformance is declining directionally. However, convergence with the South is likely to be gradual rather than immediate. The key forward trigger lies in sustained manufacturing relocation and ecosystem development, supported by infrastructure and policy alignment.

Rising Economic Divide Since 1990s



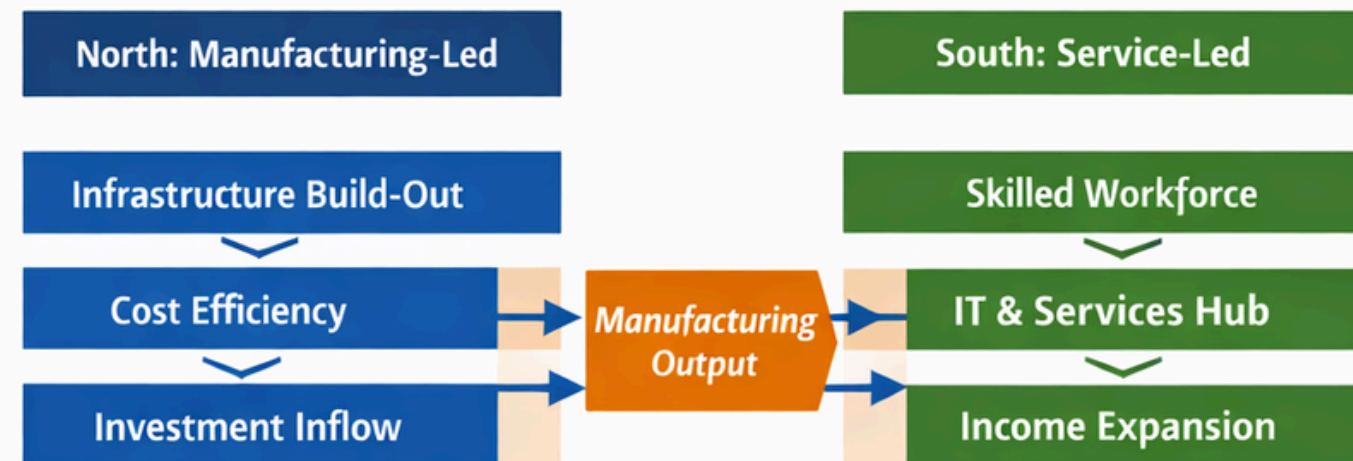
Source: MOSPI, RBI

Northern India: Infrastructure & Investments



Source: DPIIT, Company Reports

Growth Engines: North vs South India



"The North's opportunity lies in scale manufacturing, sensitive to policy execution."

In my view, the current momentum in Northern India is credible but still early-stage. While infrastructure and policy support are improving the investment environment, the real test lies in translating physical capital into human capital and productivity gains. The gap is narrowing directionally, but the pace of convergence will ultimately be determined more by execution quality than policy intent.

Conclusion & Future Outlook: Regional Convergence

Regional Comparison Snapshot



Future Convergence Path



Convergence is directionally underway, but speed depends on execution, human capital, and policy stability.